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BACKGROUND

This is a lemon law action.

On June 30, 2025, Plaintiffs Thomas D. Stark and Jill Stark filed their original complaint against Defendants Ford Motor Company, Hansel Ford of Petaluma, and DOES 1-10. The complaint alleges six causes of action stemming from Plaintiffs' purchase of an allegedly defective vehicle.

On February 25, 2026, Plaintiffs filed their first amended complaint ("FAC"). The FAC alleges the same six causes of action.

On April 1, 2026, Defendants filed a demurrer against Plaintiff's FAC.

On June 9, 2026, Plaintiffs filed an opposition.

No reply has been filed.

TENTATIVE RULING

Defendants' demurrer to Plaintiffs' Song-Beverly claims and sixth cause of action is **OVERRULED**. Defendants' demurrer to Plaintiffs' fourth cause of action is **SUSTAINED** with leave to amend and the demurrer to the fifth cause of action is **SUSTAINED** without leave to amend.

LEGAL STANDARD

"[A] demurrer tests the legal sufficiency of the allegations in a complaint." (Lewis v. Safeway, Inc. (2015) 235 Cal.App.4th 385, 388.) A demurrer can be used only to challenge defects that appear on the face of the pleading under attack or from matters outside the pleading that are judicially noticeable. (See Donabedian v. Mercury Ins. Co. (2004) 116 Cal.App.4th 968, 994 [in ruling on a demurrer, a court may not consider declarations, matters not subject to judicial notice, or documents not accepted for the truth of their contents].) For purposes of ruling on a demurrer, all facts pleaded in a complaint are assumed to be true, but the reviewing court does not assume the truth of conclusions of law. (See Aubry v. Tri-City Hosp. Dist. (1992) 2 Cal.4th 962, 967.) The only issue a demurrer is concerned with is whether the complaint, as it stands, states a cause of action. (See Hahn v. Mirda (2007) 147 Cal.App.4th 740, 747.)

Where a demurrer is sustained, leave to amend must be allowed where there is a reasonable possibility of successful amendment. (See *Goodman v. Kennedy*, (1976) 18 Cal.3d 335, 348.) The burden is on the plaintiff to show the court that a pleading can be amended successfully. (See *ibid.*; see also *Lewis v. YouTube, LLC*, (2015) 244 Cal.App.4th 118, 226.) However, “[i]f there is any reasonable possibility that the plaintiff can state a good cause of action, it is error to sustain a demurrer without leave to amend.” (*Youngman v. Nevada Irrigation Dist.*, (1969) 70 Cal.2d 240, 245).

DISCUSSION

I. Meet and Confer

Before filing a demurrer, the demurring or moving party shall meet and confer with the party who has filed the pleading in person, by telephone, or by video conference. (Code Civ. Pro. § 430.41, subd. (a).) Furthermore, the demurring or moving party must file a declaration detailing their meet and confer efforts. (Code Civ. Proc., § 430.41, subd. (a)(3).) “A determination by the court that the meet and confer process was insufficient shall not be grounds to overrule or sustain a demurrer.” (Code Civ. Proc., § 430.41, subd. (a)(4).)

Here, the parties discussed the demurrer by video conference. (See *Liu Decl.*, ¶ 2.) Therefore, the meet and confer requirement has been satisfied. (See Code Civ. Proc., § 430.41, subd. (a).)

II. Song-Beverly Claims: Causes of Action One Through Three

The Court holds that Defendant has not shown that Plaintiffs’ Song-Beverly claims are time-barred by Code of Civil Procedure section 871.21. Thus, the demurrer to these causes of action one through three is **OVERRULED**.

Code of Civil Procedure section 871.21 states:

(a) An action covered by Section 871.20 shall be commenced within one year after the expiration of the applicable express warranty.

(b) Notwithstanding subdivision (a), an action covered by Section 871.20 shall not be brought later than six years after the date of original delivery of the motor vehicle.

(c) The time periods prescribed in subdivisions (a) and (b) shall be tolled as follows:

(1) As provided by tolling requirements prescribed in subdivision (c) of Section 1793.22 of the Civil Code, as applicable.

(2) For the time the motor vehicle is out of service by reason of repair for any nonconformity.

(3) For the time period after a pre-suit notice is provided to the manufacturer in accordance with Section 871.24, which time period shall not exceed 60 days.

(Code Civ. Proc., § 871.21.)

Code of Civil Procedure section 871.20 states which causes of action are subject to Code of Civil Procedure section 871.21:¿

(a) [T]his chapter applies to an action, brought against a manufacturer who has elected under Section 871.29 to proceed under this chapter, seeking restitution or replacement of a motor vehicle pursuant to subdivision (b) or (d) of Section 1793.2, Section 1793.22, or Section 1794 of the Civil Code, or for civil penalties pursuant to subdivision (c) of Section 1794 of the Civil Code, where the request for restitution or replacement is based on noncompliance with the applicable express warranty.¿

(b) This chapter does not apply to service contract claims under Section 1794 of the Civil Code or any action seeking remedies that are not restitution or replacement of a motor vehicle.¿

(Code Civ. Pro., § 871.20.)¿

Code of Civil Procedure section 871.21 became effective on January 1, 2025. (See Code Civ. Proc., § 871.21 [“(Added by Stats. 2024, Ch. 938, Sec. 1. (AB 1755) Effective January 1, 2025.)”].) However, Code of Civil Procedure section 871.30, subdivision (a) states that the statute of limitations also applies to vehicles delivered before 2025 if the manufacturer opts in to the statutory scheme. (See Code Civ. Pro., § 871.30, subd. (a); see also *McClung v. Emp. Dev. Dep’t* (2004) 34 Cal.4th 467, 475 [“[A] statute may be applied retroactively only if it contains express language of retroactivity or if other sources provide a clear and unavoidable implication that the Legislature intended retroactive application.”].) Thus, if a manufacturer opts in, vehicles delivered before 2025 are subject to the statute of limitations stated in Code of Civil Procedure section 871.21. (See Code Civ. Pro., § 871.30, subd. (a).)

Here, Defendants contend that Plaintiffs’ claims are time-barred pursuant to Code of Civil Procedure section 871.21. (See *Demurrer*, pp. 10:11-11:6.) Plaintiffs allege the subject vehicle was delivered on April 7, 2018. (FAC, ¶ 7.) Therefore, the time limitations of Section 871.21 only apply to Plaintiffs’ vehicle if Defendant Ford Motor Company opted in to the statutory scheme. (See Code Civ. Pro., § 871.30, subd. (a).) Defendants do not provide any evidence – either in their demurrer, supporting declaration, or in a separate request for judicial notice – which shows that Defendant Ford Motor Company opted in to the statutory scheme. Thus, the Court cannot subject Plaintiffs’ claim to Code of Civil Procedure section 871.21 if there is no evidence that Defendants opted in to the statutory scheme. (See Code Civ. Pro., § 871.30, subd. (a).)

Accordingly, on the record presented for this demurrer, the Court cannot find that Plaintiffs’ Song-Beverly claims, are time-barred by Code of Civil Procedure section 871.21. Thus, the demurrer to these claims is **OVERRULED** to causes of action one through three.

III. Breach of Implied Warranty of Merchantability: Cause of Action Four

The Court holds that Plaintiffs’ fourth cause of action is¿time-barred under the applicable statute of limitations.

Implied warranty claims are also subject to a four-year statute of limitations. (Com. Code, § 2725;¿*Montoya v. Ford Motor Co.*¿(2020) 46 Cal.App.5th 493, 495.) Under Commercial Code section 2725, subdivision (b), a breach of warranty occurs, and thus a claim accrues, “when tender of delivery is made, except that where a warranty explicitly extends to future performance of the goods and discovery of the breach must await the time of such performance[,] the cause of action accrues when the breach is or should have been discovered.” (Com. Code, § 2725, subd. (b).) However, unlike express warranty claims, an implied warranty does¿not¿“explicitly extend to future performance of the goods.” (*Cardinal Health 301, Inc. v. Tyco Elecs. Corp.*¿(2008) 169 Cal.App.4th 116, 134.)¿¿

“In the case of a latent defect, a product is rendered unmerchantable, and the warranty of merchantability is breached, by the existence of the unseen defect, not by its subsequent discovery.” (*Mexia v. Rinker Boat Co.* (2009) 174 Cal.App.4th 1297, 1305.) Thus, under Commercial Code section 2725, “a cause of action for breach of warranty accrues, at the earliest, upon

tender of delivery.” (Id. at 1306.)

Here, Plaintiffs do not specifically identify when the subject vehicle was delivered, but it can be inferred that it was delivered at the time they received the warranty from Defendants – April 7, 2018. (See FAC, ¶ 7.) Thus, because this cause of action accrues upon tender of delivery, Plaintiffs’ cause of action expired on April 7, 2022. (See *Mexia v. Rinker Boat Co.* (2009) 174 Cal.App.4th 1297, 1306.) Plaintiff filed her original complaint on June 30, 2025, over three years after the expiration date. Therefore, Plaintiffs’ fourth cause of action is time-barred under the applicable statute of limitations. (See Com. Code, § 2725; see also *Montoya v. Ford Motor Co.* (2020) 46 Cal.App.5th 493, 495.)

Accordingly, the Court SUSTAINS the demurrer to this cause of action. Plaintiffs are granted leave to amend only to the extent they can allege that the vehicle was delivered within four years of the filing of the present action.

IV. Negligent Repair: Cause of Action Five

The Court finds that Plaintiffs’ claim for negligent repair is barred by the economic loss rule. Therefore, the demurrer to this cause of action is SUSTAINED.

To state a cause of action for negligence, a plaintiff must allege facts to show that: (1) defendant owed plaintiff a duty of care; (2) defendant breached that duty of care; (3) defendant’s breach actually and proximately caused plaintiff’s injury; and (4) plaintiff suffered damages. (See *Achay v. Huntington Beach Union High School District* (2022) 80 Cal.App.5th 528, 535.)

The economic loss rule posits that a purchaser of a product that does not live up to the buyer’s expectations can only recover in contract and not tort, “unless [the purchaser] can demonstrate harm above and beyond a broken contractual promise.” (*Food Safety Net Services v. Eco Safe Systems USA, Inc.* (2012) 209 Cal.App.4th 1118, 1130 [quoting *Robinson Helicopter Co., Inc. v. Dana Corp.* (2004) 34 Cal.4th 979, 988].) “In general, there is no recovery in tort for negligently inflicted ‘purely economic losses,’ meaning financial harm unaccompanied by physical or property damage.” (*Sheen v. Wells Fargo Bank, N.A.* (2022) 12 Cal.5th 905, 922 (Sheen).) Typically, plaintiffs may only recover in tort for a breach of contract where: “(1) the breach is accompanied by a traditional common law tort, such as fraud or conversion; (2) the means used to breach the contract are tortious, involving deceit or undue coercion or; (3) one party intentionally breaches the contract intending or knowing that such a breach will cause severe, unmitigable harm in the form of mental anguish, personal hardship, or substantial consequential damages.” (*Erlich v. Menezes* (1999) 21 Cal.4th 543, 553-54.)

Here, Plaintiffs’ claim is based on Defendants’ alleged failure to repair the subject vehicle to conform to the applicable warranty. (See FAC, ¶¶ 28, 93-95.) However, Plaintiffs do not allege that Defendants produced harm above and beyond their broken contractual promise. There are no additional allegations of personal harm or property damage. Therefore, Plaintiffs’ claim is barred by the economic loss rule. (See *Food Safety Net Services v. Eco Safe Systems USA, Inc.* (2012) 209 Cal.App.4th 1118, 1130; see also *Sheen*, supra, 12 Cal.5th at p. 922.)

Plaintiffs do not oppose the demurrer as it relates to this claim. For these reasons, the demurrer to this cause of action is SUSTAINED. Because Plaintiffs have not presented any allegations they could make if granted leave to amend and because no such allegations appear feasible, the demurrer to this cause of action is sustained without leave to amend.

V. Fraudulent Inducement – Concealment: Cause of Action Six

The Court overrules the demurrer to Plaintiff’s cause of action for fraudulent inducement.

a. Statute of Limitations

The Court holds that this cause of action is not time-barred under the applicable statute of limitations.

Causes of action based on fraud are subject to a three-year statute of limitations. (Code Civ. Pro., § 338, subd. (d).) The cause of action “is not deemed to have accrued until the discovery, by the aggrieved party, of the facts constituting the fraud or mistake.” (Ibid.) Therefore, the burden falls onto the plaintiff to show delayed discovery. (See *Fox v. Ethicon Endo-Surgery, Inc.* (2005) 35 Cal.4th 797, 808 [“Where a claim alleged in a complaint appears on its face to be barred by the applicable statute of limitations, a plaintiff relying on the theory of delayed accrual must plead facts supporting that theory.”].) “As for the belated discovery, the complaint must allege (1) when the fraud was discovered; (2) the circumstances under which it was discovered; and (3) that the plaintiff was not at fault for failing to discover it or had no actual or presumptive knowledge of facts sufficient to put him on inquiry.” (Community Cause v. Boatwright (1981) 124 Cal.App.3d 888, 900–01 [applied to a fraudulent concealment cause of action].) “The discovery-related facts should be pleaded in detail to allow the court to determine whether the fraud should have been discovered sooner.” (Cansino v. Bank of America (2014) 224 Cal.App.4th 1462, 1472.)

Here, the subject vehicle appears to have been delivered on April 7, 2018. (See FAC, ¶ 7.) Plaintiffs did not file their original complaint until June 30, 2025. Thus, this cause of action is time-barred. (See Code Civ. Pro., § 338, subd. (d).)

However, Plaintiffs have sufficiently pled that they did not discover the facts constituting Defendants’ fraud until within the statutory period. (See *ibid.*) Plaintiffs allege they discovered the alleged defects sometime around the last attempted repair on June 6, 2025. (See FAC, ¶¶ 18-19.) Further, Plaintiffs claim they were unable to discover the alleged defects earlier because “Defendant performed various diagnostics and/or undertook repairs and claimed that nothing was wrong with the Subject Vehicle or that the Vehicle had been repaired.” (See *id.* at ¶ 20.) Taken together, these allegations demonstrate when the alleged fraud was discovered, the circumstances under which it was discovered, and why the alleged fraud was not discovered earlier. (See Community Cause v. Boatwright (1981) 124 Cal.App.3d 888, 900–01.) Under these allegations the Court cannot determine that the cause of action is barred by the statute of limitations. (See Cansino v. Bank of America (2014) 224 Cal.App.4th 1462, 1472.)

b. Sufficient Allegations of Concealed Defects

The Court holds that Plaintiffs sufficiently alleged the defect(s) that Defendants allegedly concealed.

In *Dhital v. Nissan North America, Inc.* (2002) 84 Cal.App.5th 828, the plaintiff alleged that “the CVT transmissions were defective in that they caused such problems as hesitation, shaking, jerking, and failure to function. The [complaint] also alleged [defendant] was aware of the defects as a result of premarket testing and consumer complaints that were made both to the National Highway Traffic Safety Administration and to [defendant] and its dealers.” (Id. at p. 844.) Accordingly, the court held that plaintiff adequately pled facts about the purported defects. (See *id.* at p. 844-45.)

Here, Plaintiffs alleged that the subject vehicle’s 10-speed transmission was defective as it suffered from hesitation and delayed acceleration, harsh and hard shifting, jerking, shuddering, and juddering. (See FAC, ¶ 102.) Furthermore, Plaintiffs alleged that Defendants had knowledge of these alleged defects via “pre-production and post-production testing data, early consumer complaints about the transmission defect made directly to FORD and its network of dealers, aggregate warranty data compiled from FORD’s network of dealers, testing conducted by FORD in response to these complaints, as well warranty repair and part replacements data received by FORD from FORD’s network of dealers, amongst other sources of internal information.” (Id. at ¶ 103.) These facts very closely mirror those pleaded in *Dhital*. (See *Dhital v. Nissan North America, Inc.* (2002) 84 Cal.App.5th 828, 844.) Therefore, the same ruling applies; Plaintiffs have sufficiently alleged the defects that Defendants allegedly concealed.

In their demurrer, Defendants contend that Plaintiffs needed to allege with further particularity the alleged defects in the subject vehicle. (See Demurrer, p. 15:17-27.) In support of their contention, Defendants refer to *Santana v. FCA US, LLC* (2020) 56 Cal.App.5th 334. However, reliance on this case is misguided. There, the court reversed a final verdict for fraudulent inducement by concealment. (See *id.* at pp. 344-45.) Furthermore, the court reversed the final verdict because

there was only evidence of defects in other vehicles, not the vehicle that plaintiff owned. (See *id.* at 345.) Here, Plaintiffs have specifically alleged defects with their own vehicle, not just other vehicles, and the Court must accept those allegations as true. (See FAC, ¶ 102.) Therefore, Santana does not dictate sustaining the demurrer here.

The Court holds that Plaintiffs sufficiently alleged the defect(s) that Defendants allegedly concealed.

c. Defendants' Duty to Disclose

The Court holds that Defendants had a duty to disclose to Plaintiffs any known defects with the subject vehicle.

A duty to disclose a material fact can arise if: (1) it is imposed by statute; (2) the defendant is acting as plaintiff's fiduciary or is in some other confidential relationship with plaintiff that imposes a disclosure duty under the circumstances; (3) the material facts are known or accessible only to defendant, and defendant knows those facts are not known or reasonably discoverable by plaintiff (i.e., exclusive knowledge); (4) the defendant makes representations but fails to disclose other facts that materially qualify the facts disclosed or render the disclosure misleading (i.e., partial concealment); or (5) defendant actively conceals discovery of material fact from plaintiff (i.e., active concealment). (Civ. Code § 1710; *Rattagan v. Uber Technologies, Inc.* (2024) 17 Cal.5th 1, 40.)

“Circumstances (3), (4), and (5) presuppose a preexisting relationship between the parties, such as ‘between seller and buyer, employer and prospective employee, doctor and patient, or parties entering into any kind of contractual agreement. [Citation.]’ All of these relationships are created by transactions between parties from which a duty to disclose facts material to the transaction arises under certain circumstances.” (*Rattagan v. Uber Technologies, Inc.* (2024) 17 Cal.5th 1, 40-41 [citing *LiMandri v. Judkins* (1997) 52 Cal.App.4th 326, 337 (LiMandri)].) “Such a transaction must necessarily arise from direct dealings between the plaintiff and the defendant; it cannot arise between the defendant and the public at large.” (*Rattagan v. Uber Technologies, Inc.* (2024) 17 Cal.5th 1, 41 [citing *Bigler-Engler v. Breg, Inc.* (2017) 7 Cal.App.5th 276, 312 (Bigler)].) A direct transactional relationship can arise out of “any kind of contractual agreement.” (LiMandri, *supra*, 52 Cal.App.4th at p. 337.)

Here, Plaintiffs allege they entered a warranty contract with Defendants when they purchased the subject vehicle. (See FAC, ¶ 7.) This warranty contract can form the basis of a transactional relationship. (See LiMandri, *supra*, 52 Cal.App.4th at p. 337.) Also, the warranty contract was a “direct dealing” because it was exclusively between Plaintiffs and Defendants. (See FAC, Exh. A [contains language demonstrating sole application to Plaintiffs and their vehicle]; see also Bigler, *supra*, 7 Cal.App.5th 312.) Thus, Plaintiffs alleged a direct transactional relationship with Defendants which imposed a duty on Defendants to disclose any known vehicle defects.

In short, Plaintiffs have sufficiently alleged that Defendants had a duty to disclose any known defects with the subject vehicle.

d. Economic Loss Rule

The Court holds that the economic loss rule does not bar Plaintiffs' claim for fraudulent concealment – inducement.

Under the economic loss rule, there is generally no recovery in tort for purely economic losses arising from a contractual relationship, but there are exceptions for intentional tort claims like fraud. (See *Rattagan v. Uber Technologies, Inc.* (2024) 17 Cal.5th 1, 38.) For purposes of this exception, the California Supreme Court has stated that fraudulent concealment claims are treated no differently than affirmative fraudulent conduct, “so long as [1] a plaintiff can establish all the required elements of the cause of action independently of the parties' contractual rights and obligations and [2] can demonstrate an exposure to risks of harm beyond those that would be reasonably expected as the result of a contractual breach.” (*Id.* at 39.) “If the alleged breach is based on a failure to perform as the contract provides, and the parties reasonably anticipated and allocated the risks associated with the breach, the cause of action will generally sound only in contract because a breach deprives an injured party of a benefit it bargained for. However, if the contract reveals the consequences were

not reasonably contemplated when the contract was entered and the duty to avoid causing such a harm has an independent statutory or public policy basis, exclusive of the contract, tort liability may lie.” (Id. at 27.)

Here, the Court holds that a party entering a warranty contract has not bargained with the expectation that the manufacturer has concealed known material defects. (See *Rattagan v. Uber Technologies, Inc.* (2024) 17 Cal.5th 1, 27.) Put another way, buying a vehicle with a known material defect risks harm beyond those that would reasonably be expected as a result of a manufacturer not fulfilling its warranty obligations once a problem arises with a vehicle.

Furthermore, California has a strong policy interest, independent from the warranty itself, in ensuring automotive manufacturers do not withhold safety-related information from consumers. (See *id.* at 44 [“California public policy strongly supports imposing a tort duty on contractual parties to refrain from fraudulent deceit and favors enforcement of valid fraud actions, which the Legislature has facilitated through the enactment of the general fraud statute.”].) Therefore, the Court finds that Plaintiffs’ claim for fraudulent inducement by concealment is not barred by the economic loss rule.

Given all the considerations set forth above, the Court **OVERRULES** the demurrer to Plaintiffs’ sixth cause of action.

CONCLUSION

For the foregoing reasons, Defendants’ demurrer to Plaintiffs’ first through third and sixth causes of action is **OVERRULED**.

Defendants’ demurrer to Plaintiffs’ fourth causes of action is **SUSTAINED** with leave to amend. The demurrer to Plaintiffs’ fifth cause of action is **SUSTAINED** without leave to amend.